

POWER OF THE SUN

China has a clear supremacy in the manufacture of solar cells and modules, and control over critical minerals and transmission equipment, as illustrated by the Economic Survey 2024-25. The Survey, however, also emphasised focus on domestic manufacturing for sustainable growth of the industry.

The Budget looks to address that through a manufacturing mission supporting the clean tech sector to build a local ecosystem for solar PV cells, EV batteries, motors and controllers, electrolyzers, wind turbines, very high voltage transmission equipment and grid-scale batteries.

Varchasvi Galal, Managing Director & CEO of Datta Infra, a clean energy player, says the initiative to promote solar cell manufacturing is a strategic step towards creating a robust ecosystem in India, supported by the Production-Linked Incentive (PLI) scheme.

“...It will significantly accelerate the country’s progress towards achieving its ambitious 500-gigawatt (GW) renewable energy target by 2030. By promoting in-house module assembly and cell manufacturing, India can reduce its dependence on imports,” Galal says.

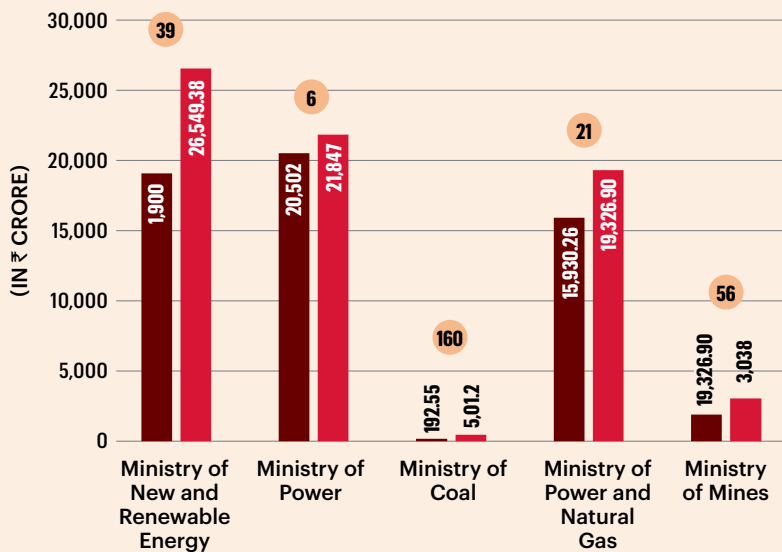
Solar is set to be the largest contributor in achieving the 500 GW non-fossil fuel power target by 2030, from the current installed capacity of 209 GW. The Budget looks to support the 50 GW annual renewable capacity addition needed to meet the target in the next five years.

The FM also lowered the Basic Customs Duty (BCD) on imported solar cells from 25% to 20%, and on solar modules from 40% to 20%.

The PM-KUSUM, or the Pradhan Mantri-Kisan Urja Suraksha evam Utthan Mahabhiyan Scheme, a government initiative to promote renewable energy and energy security for

BUDGET BOOST

- Sectors contributing to power sector get capex push
- Clean energy sectors are the points of government’s focus

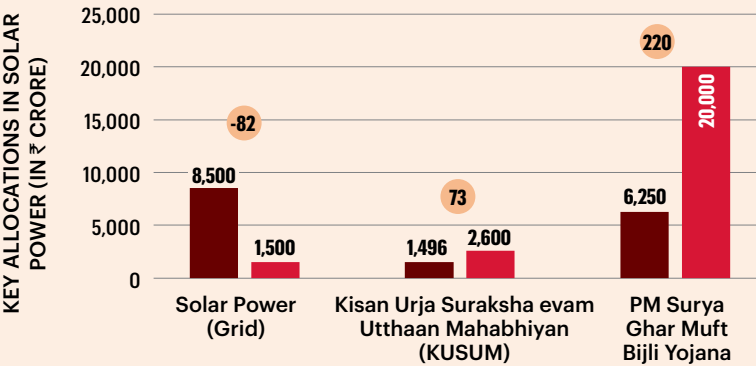


■ FY25 (BE) ■ FY26 (BE)

NOTE FIGURES IN BUBBLES ARE CHANGES IN %; BE IS BUDGET ESTIMATES
SOURCE BUDGET DOCUMENTS

HARNESSING THE SUN

- Budget was reduced to ₹1,300 crore in Revised Estimates for FY24-25 and is 15% more in its comparison



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